BofA SECURITIES

Lite-On Tech

Upgrade to Buy; 3Q26 beat, better margin; solid AI outlook; lift PO to NT$288

Rating Change: BUY | PO: 288.00 TWD | Price: 240.50 TWD

Upgrade to Buy and raise PO to NT$288

We upgrade Lite-On Tech (LoT) to Buy from Neutral with a higher PO of NT$288 (18x 2027E EPS; prior NT$285 with valuation unchanged). We turn more positive on LoT after two straight quarters of results beat, especially with margin surprise. We lift 2026-28E EPS by 1-8% (Exhibit 1), with still solid AI power-supply demand/order. Our 2026-28E EPS is 4-7% above consensus (Exhibit 2). We expect the market to react more positively to LoT, with 3Q26 results beat, vs. Delta with 3Q26 results miss (see Robert Cheng's Delta 3Q26 note), amid similar positive comments on long-term AI market demand.

3Q26 beat: better margins, despite lighter sales

LoT's 3Q26 GM/OPM of 25.9%/15.1% came in better than BofAe of 25.3%/13.5% and consensus of 25.1%/13.6%, despite lighter sales (3%/5% below BofAe/consensus). We view the QoQ GM/OPM decline from record high in 2Q26 as largely expected as mgmt. had indicated at 2Q26 meeting that 1H26 GM of 24.7% represented a more sustainable level. Besides AI, better margins were also helped by improving product mix in IT/CE (i.e. higher mix from high-end ICT and LEO satellite) and higher automation level.

4Q26 sales up QoQ; 2H26 GM above 1H; rising AI mix

Similar to Delta, LoT also sees short-term shipment uncertainties/push-outs due to component shortage and power/electricity shortage for AI datacenter infrastructure. Nevertheless, the CEO remains long-term positive on AI demand. He also expects easing component/power constraints from 4Q26. Yet, mgmt. expects 4Q26 cloud sales to grow QoQ/YoY, led by ASIC/GPU/AMD projects, and 2H26 GM to be above 1H26 level (BofAe: 26.3% in 4Q26, vs. 25.9%/24.7% in 3Q26/1H26). The CEO indicated 800VDC power rack mass shipment in 1Q27, after sample shipment in 4Q26. Mgmt. expects AI sales mix at 30%+ in 2026 and 40-50% in 2027. This time, LoT raised 2026 capex to NT$19.7bn (prior NT$18.0bn) and sees higher level in 2027 (BofAe: NT$20.0bn).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	11,942	15,116	25,702	36,419	53,637
EPS	5.21	6.64	11.30	16.00	23.57
EPS Change (YoY)	-18.1%	27.5%	70.0%	41.7%	47.3%
Consensus EPS (Visible Alpha)			10.97	15.62	20.97
Dividend / Share	4.50	5.00	7.91	10.40	14.14
Free Cash Flow / Share	3.87	3.37	1.70	5.57	12.53
Valuation (Dec)					
P/E	46.15x	36.20x	21.29x	15.03x	10.20x
Dividend Yield	1.87%	2.08%	3.29%	4.33%	5.88%
EV / EBITDA*	29.95x	24.92x	14.62x	9.57x	6.51x
Free Cash Flow Yield*	1.59%	1.38%	0.697%	2.28%	5.13%

* For full definitions of IQmethod℠ measures, see page 9.

This research report provides general information only. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or other persons without the express written consent of BofA Securities.
>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.
Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.
BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.
Refer to important disclosures on page 10 to 13. Analyst Certification on page 7. Price

02 November 2026

Equity

Key Changes

(NT$)	Previous	Current
Inv. Opinion	C-2-7	C-1-7
Inv. Rating	NEUTRAL	BUY
Price Obj.	285.00	288.00
2026E EPS	11.14	11.30
2027E EPS	15.85	16.00
2028E EPS	21.76	23.57
2026E EBITDA (m)	34,924.6	34,780.7
2027E EBITDA (m)	52,441.6	53,149.2
2028E EBITDA (m)	71,016.5	78,117.1

Doris Kao >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3722
doris.kao@bofa.com

Robert Cheng >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3731
robert.cheng@bofa.com

Katherine Zhu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3374
kexin.zhu@bofa.com

Carol Hu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3721
carol.hu@bofa.com

Stock Data

Price	240.50 TWD
Price Objective	288.00 TWD
Date Established	2-Nov-2026
Investment Opinion	C-1-7
52-Week Range	139.50 TWD-328.00 TWD
Mrkt Val / Shares Out (mn)	17,056 USD / 2,310.8
Market Value (mn)	555,745 TWD
Average Daily Value (mn)	110.46 USD
Free Float	88.9%
BofA Ticker / Exchange	LOTZF / TAI
Bloomberg / Reuters	2301 TT / 2301.TW
ROE (2026E)	26.5%
Net Dbt to Eqty (Dec-2025A)	-64.4%

iQprofile℠ Lite-On Tech

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	137,134	166,085	213,929	294,294	407,882
Gross Profit	29,630	38,039	54,494	79,611	115,000
Sell General & Admin Expense	(9,219)	(12,580)	(12,785)	(16,818)	(22,982)
Operating Profit	12,934	16,738	30,006	45,613	68,274
Net Interest & Other Income	2,701	2,975	3,842	2,307	2,302
Associates	NA	NA	NA	NA	NA
Pretax Income	15,635	19,713	33,848	47,919	70,575
Tax (expense) / Benefit	(3,674)	(4,601)	(8,124)	(11,501)	(16,938)
Net Income (Adjusted)	11,942	15,116	25,702	36,419	53,637
Average Fully Diluted Shares Outstanding	2,292	2,275	2,275	2,275	2,275
Key Cash Flow Statement Data					
Net Income	11,942	15,116	25,702	36,419	53,637
Depreciation & Amortization	4,047	3,668	4,774	7,537	9,843
Change in Working Capital	(3,886)	(2,099)	(6,900)	(11,279)	(16,964)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	308	(2,153)	0	0	0
Cash Flow from Operations	12,411	14,533	23,576	32,676	46,517
Capital Expenditure	(3,548)	(6,854)	(19,700)	(20,000)	(18,000)
(Acquisition) / Disposal of Investments	(2,245)	0	0	0	0
Other Cash Inflow / (Outflow)	950	(540)	0	0	0
Cash Flow from Investing	(4,843)	(7,395)	(19,700)	(20,000)	(18,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(10,372)	(10,297)	(11,584)	(18,318)	(24,102)
Cash Flow from Financing	(3,363)	(23,099)	(11,584)	(18,318)	(24,102)
Free Cash Flow	8,863	7,679	3,876	12,676	28,517
Net Debt	(67,496)	(57,945)	(50,237)	(44,596)	(49,011)
Change in Net Debt	(7,942)	19,709	7,708	5,642	(4,415)
Key Balance Sheet Data					
Property, Plant & Equipment	18,776	24,752	39,678	52,141	60,298
Other Non-Current Assets	16,790	16,914	16,914	16,914	16,914
Trade Receivables	37,182	42,318	52,620	71,411	99,650
Cash & Equivalents	100,684	80,974	73,267	67,625	72,040
Other Current Assets	31,251	40,729	44,991	58,005	77,007
Total Assets	204,683	205,687	227,470	266,097	325,909
Long-Term Debt	3,000	3,000	3,000	3,000	3,000
Other Non-Current Liabilities	2,903	3,111	3,111	3,111	3,111
Short-Term Debt	30,187	20,029	20,029	20,029	20,029
Other Current Liabilities	77,682	89,568	97,232	117,759	148,035
Total Liabilities	113,772	115,709	123,373	143,899	174,176
Total Equity	90,911	89,979	104,097	122,198	151,733
Total Equity & Liabilities	204,683	205,687	227,470	266,097	325,909
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	10.1%	12.1%	19.4%	25.7%	32.5%
Return On Equity	13.6%	16.7%	26.5%	32.2%	39.2%
Operating Margin	9.4%	10.1%	14.0%	15.5%	16.7%
EBITDA Margin	12.4%	12.3%	16.3%	18.1%	19.2%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.0x	1.0x	0.9x	0.9x	0.9x
Asset Replacement Ratio	0.9x	2.0x	4.3x	2.7x	1.9x
Tax Rate (Reported)	23.5%	23.3%	24.0%	24.0%	24.0%
Net Debt-to-Equity Ratio	-74.2%	-64.4%	-48.3%	-36.5%	-32.3%
Interest Cover	8.5x	11.7x	36.6x	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 9.

Company Sector

Electronics Manufacturing Services

Company Description

Lite-On Tech is a leading PC and server power-supply maker globally. Besides PC/server power-supply, its key products include optoelectronics (photo-coupler, LED lighting, outdoor lighting, auto lighting) and power-supply for game console and industrial. Key applications include AIoT, 5G, and smart life. Its key customers include HP, Dell, Lenovo, Microsoft, Sony, Nintendo, and global cloud hyperscalers. Lite-On Tech was founded in 1975 and headquartered in Taiwan.

Investment Rationale

We have a Buy rating on Lite-On Tech in view of (1) its solid position in AI server power-supply as the second largest component maker globally and (2) expanding margins with improving product mix, rising scale, and better operating efficiency. We see consistently high cash dividend payout (over 50% since 2008) and solid balance sheet as share price downside supports.

Stock Data

Price to Book Value	5.3x

Upgrade to Buy; raise PO to NT$288

We upgrade Lite-On Tech (LoT) to Buy, from Neutral, with a higher PO of NT$288 (18x 2027E EPS) from NT$285 with valuation unchanged. We turn more positive on LoT after two straight quarters of results beat, especially with margin surprise. We lift 2026-28E EPS by 1-8% (Exhibit 1) to reflect 3Q26 results beat, the latest guidance, and solid AI power-supply demand/order. Our 2026-28E EPS is 4-7% above consensus (Exhibit 2).

LoT's share price corrected 21% and 14% in the recent three months and one month, respectively, vs. key peer Delta's (2308 TT; covered by Robert Cheng) -27%/-29% and TAIEX's -2%/-6%. We expect more positive market reaction to LoT's 3Q26 results beat, vs. Delta's 3Q26 results miss (see Robert Cheng's Delta 3Q26 note), amid similar positive comments on long-term AI market demand. LoT also has a cheaper valuation vs. Delta. LoT currently trades at 15x 2027E P/E, below Delta's 24x and overall peers' average of 20x (Exhibit 6).

Exhibit 1: We lift 2026-28E EPS by 1-8%
Earnings estimates revision summary, 2026-28E

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Total sales	213,929	223,372	-4%	294,294	303,226	-3%	407,882	392,422	4%
Gross Profit	54,494	56,277	-3%	79,611	80,623	-1%	115,000	108,318	6%
Operating income	30,006	30,150	0%	45,613	45,220	1%	68,274	62,910	9%
Pretax income	33,848	33,354	1%	47,919	47,461	1%	70,575	65,150	8%
Net income	25,702	25,343	1%	36,419	36,070	1%	53,637	49,514	8%
EPS (NT$)	11.30	11.14	1%	16.00	15.85	1%	23.57	21.76	8%
Margins %									
Gross margin	25.5%	25.2%	0.3 ppt	27.1%	26.6%	0.5 ppt	28.2%	27.6%	0.6 ppt
Operating margin	14.0%	13.5%	0.5 ppt	15.5%	14.9%	0.6 ppt	16.7%	16.0%	0.7 ppt
Pretax margin	15.8%	14.9%	0.9 ppt	16.3%	15.7%	0.6 ppt	17.3%	16.6%	0.7 ppt
Net margin	12.0%	11.3%	0.7 ppt	12.4%	11.9%	0.5 ppt	13.2%	12.6%	0.5 ppt

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026-28E EPS is 4-7% above consensus
BofAe vs consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	213,929	215,886	-1%	294,294	290,142	1%	407,882	405,001	1%
Gross Profit	54,494	53,580	2%	79,611	75,665	5%	115,000	100,340	15%
Operating income	30,006	28,211	6%	45,613	42,161	8%	68,274	66,066	3%
Pretax income	33,848	31,272	8%	47,919	43,728	10%	70,575	71,282	-1%
Net income	25,702	24,120	7%	36,419	34,323	6%	53,637	52,090	3%
EPS (NT$)	11.30	10.57	7%	16.00	15.11	6%	23.57	22.71	4%
Margins %									
Gross margin	25.5%	24.8%	0.7 ppt	27.1%	26.1%	1.0 ppt	28.2%	24.8%	3.4 ppt
Operating margin	14.0%	13.1%	1.0 ppt	15.5%	14.5%	1.0 ppt	16.7%	16.3%	0.4 ppt
Pretax margin	15.8%	14.5%	1.3 ppt	16.3%	15.1%	1.2 ppt	17.3%	17.6%	-0.3 ppt
Net margin	12.0%	11.2%	0.8 ppt	12.4%	11.8%	0.5 ppt	13.2%	12.9%	0.3 ppt

Source: BofA Global Research estimates, Bloomberg consensus

BofA GLOBAL RESEARCH

3Q26 beat: better margins, despite lighter sales

LoT posted 3Q26 results and held the physical analyst meeting on 30 Oct after market close. 3Q26 GM/OPM of 25.9%/15.1% came in better than BofAe of 25.3%/13.5% and consensus of 25.1%/13.6%, despite lighter sales (3%/5% below BofAe/consensus; +9% QoQ, +28% YoY). We view the QoQ decline in GM/OPM from the record highs in 2Q26

as largely expected, as management had already indicated at the 2Q26 meeting that the 1H26 GM of 24.7% represented a more sustainable level (see our 2Q26 result note). Besides AI, we believe better margins were also helped by improving product mix in IT/CE (i.e. higher mix from high-end ICT and LEO satellite) and higher automation level. With non-operating gain of NT$1.1bn (including net interest income of NT$369mn and FX gain of NT$734mn) and higher minority interest, net income (+4% QoQ, +60% YoY) was 12%/11% above BofAe/consensus.

Exhibit 3: 3Q26 net income is 12%/11% above BofAe/consensus
3Q26 results summary

NT$mn	3Q26	QoQ %	YoY %	BofAe	Diff (%)	Consensus	Diff (%)	2Q26	3Q25
Sales	57,403	9%	28%	59,370	-3%	60,120	-5%	52,703	44,891
Gross profit	14,867	4%	32%	15,030	-1%	15,073	-1%	14,348	11,243
Operating Income	8,655	6%	85%	8,024	8%	8,165	6%	8,203	4,683
Pre-Tax Income	9,798	5%	76%	8,707	13%	8,824	11%	9,368	5,569
Net Income	7,429	4%	60%	6,617	12%	6,699	11%	7,116	4,645
EPS (NT$)	3.26	4%	60%	2.91	12%	2.91	12%	3.13	2.04
Margins %									
Gross margin	25.9%	-1.3 ppt	0.9 ppt	25.3%	0.6 ppt	25.1%	0.8 ppt	27.2%	25.0%
Operating margin	15.1%	-0.5 ppt	4.6 ppt	13.5%	1.6 ppt	13.6%	1.5 ppt	15.6%	10.4%
Pretax margin	17.1%	-0.7 ppt	4.7 ppt	14.7%	2.4 ppt	14.7%	2.4 ppt	17.8%	12.4%
Net margin	12.9%	-0.6 ppt	2.6 ppt	11.1%	1.8 ppt	11.1%	1.8 ppt	13.5%	10.3%

Source: BofA Global Research estimates, company data, Bloomberg consensus. Diff: difference

BofA GLOBAL RESEARCH

Similar comments on material/power shortage like Delta

Similar to Delta mgmt.'s comments at 3Q26 analyst meeting, LoT also sees short-term shipment uncertainties/push-outs due to material/component shortage (e.g. semis, PCB, passives) and power/electricity shortage for AI datacenter infrastructure. Nevertheless, LoT's CEO remains long-term positive on AI demand with ongoing platform/spec upgrade. He also expects easing component/power constraints from 4Q26, with ongoing strategic component procurement/preparation and customers' robust AI demand.

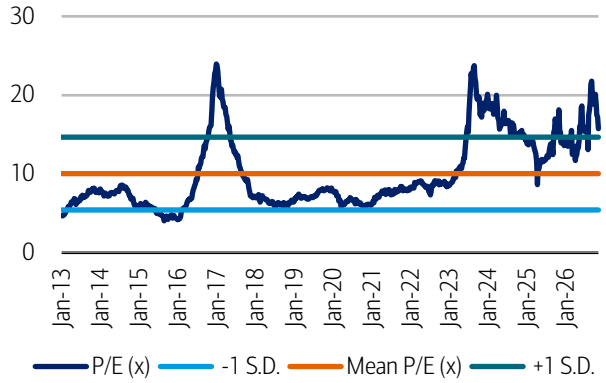
4Q26 sales up QoQ; 2H26 GM above 1H; rising AI mix

Into 4Q26, mgmt. expects cloud sales to grow both QoQ and YoY. Key drivers include (1) volume production of 8.5kW PSUs for ASIC applications and BBUs, next-generation Nvidia Vera Rubin 110kW solutions, 42-inch power shelves for AMD Helios, (2) prototype shipments of 800VDC power rack, and (3) continued momentum in high-end power applications, with shipments of power solutions for LEO satellites. the CEO also expects 2H26 GM to be above 1H26 level. We thus project 4Q26 overall sales to grow 5% QoQ (+36% YoY), with GM at 26.3% (vs. 25.9%/24.7% in 3Q26/1H26). For HVDC, the CEO further stated 800VDC power rack mass shipment in 1Q27, after final validation and sample shipment in 4Q26. Mgmt. kept AI sales mix target at 30%+ in 2026 and potentially 40-50% in 2027. LoT raised 2026 capex to NT$19.7bn (vs. NT$18.0bn guided at 2Q26 analyst meeting) and expects a higher level in 2027 (BofAe: NT$20.0bn).

Initially expects 2027 sales/GM/OPM YoY increase

Into 2027, the CEO initially expects cloud sales to grow another 70% YoY, driven by rising ASP and power-supply product/spec upgrade. He targets another 10% YoY sales growth for optoelectronics business, driven by industrial and new energy business. He expects LEO satellite power to grow YoY but sees flattish sales from conventional ICT power business. Nevertheless, he expects GM/OPM YoY expansion in 2027. We thus expect 2027 sales to grow 38% YoY, with GM/OPM increasing by 1.6ppt/1.5ppt YoY.

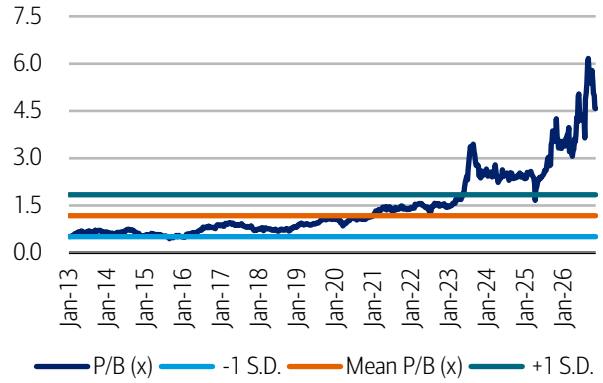
Exhibit 4: LoT's historical P/E average since 2013 is 10x
LoT's historical P/E and -1/+1 standard deviation since 2013



Source: BofA Global Research, company data, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 5: LoT's historical P/B average since 2013 is 1.2x
LoT's historical P/B and -1/+1 standard deviation since 2013



Source: BofA Global Research, company data, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 6: LoT currently trades at 15x 2027E P/E, below Delta's 24x and overall peers' average of 20x
Valuation comparison: LoT and global peers

		Share price	Market cap	P/E (x)			P/B (x)			EPS growth			ROE (%)			EV/EBITDA (x)			Net cash (debt) to market cap		
Ticker	**Company**	**(LC)**	**(US$mn)**	**26E**	**27E**	**28E**	**26E**	**27E**	**28E**	**26E**	**27E**	**28E**	**26E**	**27E**	**28E**	**26E**	**27E**	**28E**	**26E**	**27E**	**28E**
2301 TT	**Lite-On Tech**	**240.50**	**17,088**	**21.3**	**15.0**	**10.2**	**5.3**	**4.5**	**3.6**	**70%**	**42%**	**47%**	**26.5**	**32.2**	**39.2**	**14.6**	**9.6**	**6.5**	**9%**	**8%**	**9%**
Greater China peers																					
2308 TT	Delta Electronics	1,335.00	106,378	35.6	23.6	16.7	8.8	7.1	5.5	62%	51%	41%	27.2	33.3	37.2	22.2	14.9	10.7	3%	3%	4%
6412 TT	Chicony Power *	67.30	827	12.3	9.9	n.a	1.6	1.6	n.a	5%	24%	n.a.	13.9	17.3	n.a	7.6	5.3	n.a	3%	4%	n.a.
2393 TT	Everlight *	67.20	914	15.2	14.4	n.a	1.6	1.6	1.6	-4%	5%	n.a.	10.7	11.7	11.7	9.9	8.6	n.a	9%	8%	8%
002851 CH	Megmeet *	77.72	6,834	58.4	28.7	18.9	5.8	4.9	4.0	397%	103%	52%	10.1	17.8	21.9	37.8	19.2	13.6	-2%	-2%	0%
Average				**30.4**	**19.2**	**17.8**	**4.5**	**3.8**	**3.7**	**115%**	**46%**	**47%**	**15.5**	**20.0**	**23.6**	**19.4**	**12.0**	**12.1**	**3%**	**3%**	**4%**
Global peers																					
VRT US	Vertiv	245.92	94,694	34.0	26.2	20.8	14.7	9.7	6.7	72%	30%	26%	54.9	45.5	38.9	25.8	19.5	15.7	0%	4%	8%
ON US	ON Semi	75.24	29,292	23.5	16.5	12.2	4.1	3.4	2.8	36%	43%	35%	17.1	22.9	25.4	16.7	13.1	9.8	-3%	1%	8%
EMR US	Emerson	170.74	95,238	26.0	23.3	21.1	4.6	4.4	4.2	9%	12%	11%	17.9	19.3	20.4	22.1	20.2	18.7	-10%	-8%	-7%
Average				**27.8**	**22.0**	**18.0**	**7.8**	**5.8**	**4.6**	**39%**	**28%**	**24%**	**30.0**	**29.2**	**28.2**	**21.5**	**17.6**	**14.7**	**-4%**	**-1%**	**3%**
Overall average				**29.3**	**20.4**	**17.9**	**5.9**	**4.7**	**4.1**	**83%**	**38%**	**33%**	**21.7**	**24.0**	**25.9**	**20.3**	**14.4**	**13.7**	**0%**	**1%**	**4%**

Source: BofA Global Research estimates, Bloomberg. Note: share price and market cap as of 2026/10/30 (Asia) or 10/29 (US). ROE refers to average ROE. *A-share and non-covered companies' forecasts based on Bloomberg consensus. LC: local currency

BofA GLOBAL RESEARCH

Exhibit 7: LoT's PEG of 0.34 is below Delta's 0.51 and peers average of 0.87
PEG comparison with global peers

		P/E (x)	EPS CAGR	PEG	Sales CAGR	ROE
Ticker	**Company**	**2027E**	**2026-28E**	**2027E**	**2026-28E**	**2027E**
2301 TT	**Lite-On Tech**	**15.0**	**44%**	**0.34**	**38%**	**32%**
Greater China peers						
2308 TT	Delta Electronics	23.6	46%	0.51	37%	33%
6412 TT	Chicony Power *	9.9	n.a.	n.a	n.a.	17%
2393 TT	Everlight *	14.4	n.a.	n.a	n.a.	12%
002851 CH	Megmeet *	28.7	76%	0.38	34%	18%
Global peers						
VRT US	Vertiv	26.2	28%	0.94	24%	46%
ON US	ON Semi	16.5	39%	0.43	12%	23%
EMR US	Emerson	23.3	11%	2.10	6%	19%
Peers average		**20.4**	**40%**	**0.87**	**23%**	**24%**

Source: BofA Global Research estimates, Bloomberg. Note: share price and market cap as of 2026/10/30 (Asia) or 10/29 (US). ROE refers to average ROE. *A-share and non-covered companies' forecasts based on Bloomberg consensus. PEG = 2027E P/E / 2026-28E EPS CAGR

BofA GLOBAL RESEARCH

Exhibit 8: We model 2026-28 sales/EPS CAGR at 38%/44%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	43,407	52,703	57,403	60,415	61,061	68,193	79,128	85,912	86,975	95,894	107,365	117,647	166,085	213,929	294,294	407,882
Gross profit	9,403	14,348	14,867	15,876	16,059	18,294	21,619	23,639	23,976	26,918	30,533	33,573	38,039	54,494	79,611	115,000
Operating profit	4,099	8,203	8,655	9,049	8,854	10,315	12,599	13,845	13,800	15,794	18,401	20,279	16,738	30,006	45,613	68,274
Pretax profit	4,970	9,368	9,798	9,712	9,415	10,865	13,241	14,399	14,351	16,344	19,050	20,830	19,713	33,848	47,919	70,575
Net income	3,775	7,116	7,429	7,381	7,155	8,257	10,063	10,943	10,907	12,421	14,478	15,831	15,116	25,702	36,419	53,637
EPS (NT$)	1.66	3.13	3.26	3.24	3.14	3.63	4.42	4.81	4.25	4.84	5.65	6.17	6.64	11.30	16.00	23.57
Margin %																
Gross margin	21.7%	27.2%	25.9%	26.3%	26.3%	26.8%	27.3%	27.5%	27.6%	28.1%	28.4%	28.5%	22.9%	25.5%	27.1%	28.2%
Operating margin	9.4%	15.6%	15.1%	15.0%	14.5%	15.1%	15.9%	16.1%	15.9%	16.5%	17.1%	17.2%	10.1%	14.0%	15.5%	16.7%
Pretax margin	11.4%	17.8%	17.1%	16.1%	15.4%	15.9%	16.7%	16.8%	16.5%	17.0%	17.7%	17.7%	11.9%	15.8%	16.3%	17.3%
Net margin	8.7%	13.5%	12.9%	12.2%	11.7%	12.1%	12.7%	12.7%	12.5%	13.0%	13.5%	13.5%	9.1%	12.0%	12.4%	13.2%
QoQ %																
Sales	-2%	21%	9%	5%	1%	12%	16%	9%	1%	10%	12%	10%				
Gross profit	-2%	53%	4%	7%	1%	14%	18%	9%	1%	12%	13%	10%				
Operating profit	-12%	100%	6%	5%	-2%	16%	22%	10%	0%	14%	17%	10%				
Pretax profit	-5%	89%	5%	-1%	-3%	15%	22%	9%	0%	14%	17%	9%				
Net income	-2%	88%	4%	-1%	-3%	15%	22%	9%	0%	14%	17%	9%				
YoY %																
Sales	19%	30%	28%	36%	41%	29%	38%	42%	42%	41%	36%	37%	21%	29%	38%	39%
Gross profit	14%	60%	32%	65%	71%	27%	45%	49%	49%	47%	41%	42%	28%	43%	46%	44%
Operating profit	12%	120%	85%	94%	116%	26%	46%	53%	56%	53%	46%	46%	29%	79%	52%	50%
Pretax profit	6%	120%	76%	86%	89%	16%	35%	48%	52%	50%	44%	45%	26%	72%	42%	47%
Net income	9%	126%	60%	91%	90%	16%	35%	48%	52%	50%	44%	45%	27%	70%	42%	47%

Source: BofA Global Research estimates, company data, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 9: Acronyms
Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EPS	Earnings Per Share	OPEX	Operating Expense
AIoT	AI (Artificial Intelligence) + IoT (Internet of Thing)	FX	Foreign Exchange	OPM	Operating Profit Margin
AMD	Advanced Micro Devices (AMD US)	GM	Gross Margin	P/B	Price to Book
ASIC	Application-Specific Integrated Circuit	GPU	Graphic Processing Unit	PCB	Printed Circuit Board
ASP	Average Selling Price	HVDC	High Voltage Direct Current	P/E	Price to Earnings
BBU	Battery Backup Unit	ICT	Information and Communication Technology	PEG	P/E Growth
CAGR	Compound Annual Growth Rate	IT	Information Technology	PO	Price Objective
Capex	Capital Expenditure	LC	Local Currency	PSU	Power Supply Unit
CE	Consumer Electronics	LED	Light-Emitting Diode	RHS	Right Hand Side
CEO	Chief Executive Officer	LEO	Low-Earth Orbit	SD	Standard Deviation
Diff	Difference	Mgmt.	Management	VDC	Voltage Direct Current

Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 10: Stocks mentioned
Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
LOTZF	2301 TT	Lite-On Tech	NT$ 240.5	C-1-7
DLTEF	2308 TT	Delta Elect	NT$ 1335	C-1-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Delta Electronics Inc. (DLTEF)
Our PO of NT$2,250 is based on 30x 4Q27-3Q28E EPS, which is close to 2.0 standard deviations above Delta's average trading P/E since 2012. We believe the P/E multiple is justified, given (1) continuous strength and leading position in server power-supply and power choke business, (2) content/value growth with broader product offering in AI (artificial intelligence) business, (3) rising cooling sales by targeting top CSPs' customized projects, and (4) ongoing margin expansion.

The upside risks to our PO are (1) stronger-than-expected server/datacenter demand, (2) faster-than-expected IA recovery, and (3) faster-than-expected EV model launches by global brands.

The downside risks to our PO are (1) unexpected changes in policy that could impact IA growth in China, (2) slower-than-expected server/datacenter demand recovery, (3) earnings impact from unprofitable long-term investments (4) Adverse effects of announced USITC 337 investigation into multiple companies in the AI supply chain, which includes Delta Electric.

Lite-On Tech (LOTZF)
Our PO of NT$288 is based on 18x 2027E EPS, which is around 1.75SD above its historical average since 2013. We believe the P/E multiple is justified, given its solid market position to capture multi-year AI server power-supply market demand with improving product mix. Yet, we also assign a valuation discount to its key peer, given its late entry and a slower progress in cooling business, smaller scale, and lighter margin profile.

Downside risks: (1) weaker-than-expected demand from server/cloud power-supply business, (2) lighter margin profile for automotive LED lighting with limited ASP expansion, (3) pricing competition and component price increase from power-supply business, and (4) less order win from cooling business.

Upside risks: (1) stronger-than-expected margin profile for automotive LED lighting with ASP expansion, (2) faster revenue growth from server/cloud power-supply with a more positive datacenter market outlook, and (3) larger/stronger order win from cooling business.

Analyst Certification

We, Doris Kao and Robert Cheng, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Information on securities which are listed on the exchanges where ML Securities (Taiwan) Limited is not permitted to trade or solicit trades for clients is for informational purposes only and is not a recommendation or a solicitation to trade such securities. ML Securities (Taiwan) Limited will not execute transactions for nor accept orders from clients to trade such securities. Foreign investment in Taiwan securities is regulated and restricted. Currently, foreign investment in Taiwan securities is permitted by investment through: (1) global depository receipts, (2) convertible bonds, (3) mutual funds issued offshore of Taiwan, and (4) a special foreign institutional investors (FINIs) and foreign individual investors (FIDIs)



program supervised by the Taiwan SFB whereunder FINIs/FIDIs may apply for investment ID to invest in Taiwan securities by registration with Taiwan Stock Exchange. FINIs will additionally need consent from the foreign exchange authority, ie, the Central Bank of China. In addition to the limitations above, various industry-specific percentage-based limitations on foreign ownership of Taiwan companies (and in some cases prohibitions) may apply. Investments are subject to exchange rate and currency conversion restrictions and risks. Dividends and interest earned by foreign investors' Taiwan securities/instruments are generally subject to a 20% withholding tax. Ordinary shares are not available to ML private client accounts in the U.S.

This report is distributed in Taiwan by Merrill Lynch Securities (Taiwan) Limited, which is regulated by the Taiwan SFB.

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

*iQ*method℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

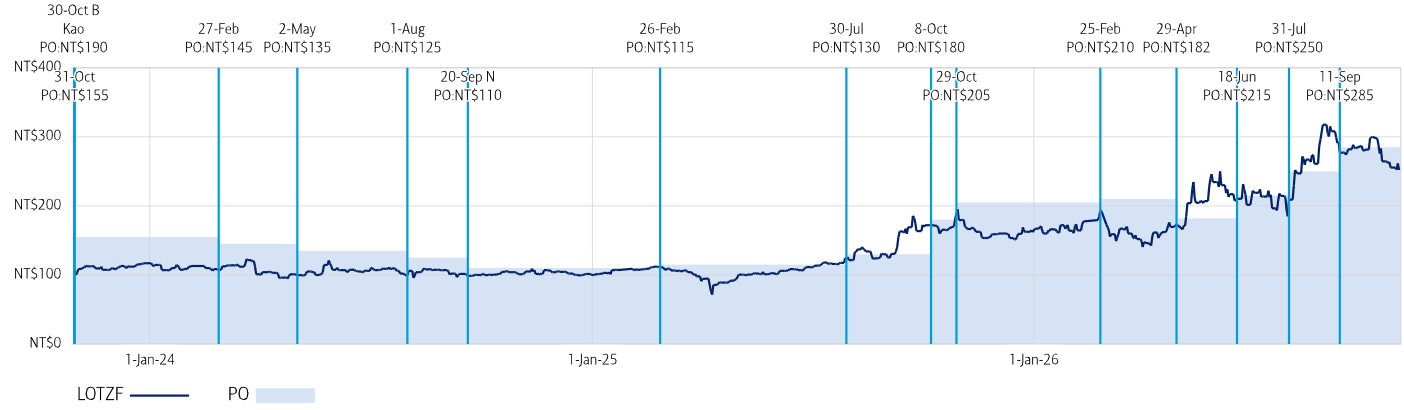
iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofile℠, *iQmethod℠* are service marks of Bank of America Corporation. *iQdatabase®* is a registered service mark of Bank of America Corporation.

Disclosures

Important Disclosures

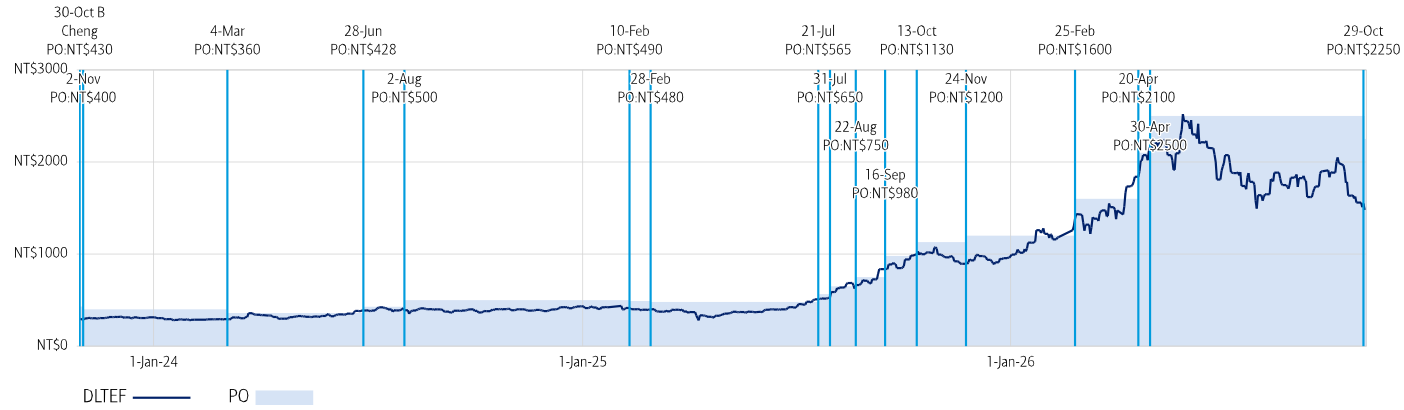
Lite-On Tech (LOTZF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Delta Elect (DLTEF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the Price Charts website, or call 1-800-MERRILL to have them mailed.
In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Delta Elect, Lite-On Tech.
The country in which this issuer is organized has certain laws or regulations that limit or restrict ownership of the issuer's shares by nationals of other countries: Delta Elect, Lite-On Tech.
BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.
Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.
The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.
Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.
Refer to BofA Global Research policies relating to conflicts of interest.
"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.
Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:
BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSFC); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority.
This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSFC; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA



conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the Electronic Communications Disclaimers for further information.

This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are not regulated in a manner similar to U.S. securities markets. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities or digital assets that may have been recommended or discussed in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments recommended or discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This

information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.
All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.
Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.
Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.
In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.
Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.